

Wheat harvest ongoing, though poor macroeconomic conditions drive Crisis (IPC Phase 3)

Key Messages

- Despite improved food availability from the 2018/19 harvest, many households are expected to face Crisis (IPC Phase 3) or worse outcomes through September, the peak of the lean season. The atypically high need is driven by poor macroeconomic conditions, which are negatively impacting household purchasing power. Crisis (IPC Phase 3) outcomes are expected in much of Darfur, North Kordofan, South Kordofan, southern Blue Nile, northern Kassala, and Red Sea states. During the peak of the lean season, IDPs in SPLM-N controlled areas of South Kordofan and SPLA-AW controlled areas of Jebel Marra are expected to be in Emergency (IPC Phase 4).
- As of mid-March, the harvesting of 2019 winter wheat started across main wheat-producing areas and yields are so far favorable. However, farmers continue to raise concerns that the ongoing cash and fuel shortages are delaying harvesting, which may result in above-average pre-harvest losses. The Agricultural Bank of Sudan (ABS) has fixed the wheat *Salam* price (prices for in-kind repayment of loans) at 1,850 Sudanese Pounds (SDG) per 90-kilogram sack, compared to last year's price of 750 SDG. Many producers indicate that the set price is still unprofitable, though, given the extremely high cost of production this year, and some are diverting sales to markets.
- Extremely poor macroeconomic conditions persist in Sudan, including shortages of cash, fuel, wheat, and wheat flour, and subsequent high prices of food and non-food items. While the official exchange rate remains at 47.5 SDG per dollar, the exchange rate stood at 70 SDG/USD on the parallel market in February 2019, up from 60 SDG in January.
- Price changes for locally produced staples were mixed in February, a time when a decreasing trend is typical. While millet prices declined 10-20 percent due to increased supply and relatively lower demand, sorghum prices remained stable or increased 5-15 percent. The price of locally-produced wheat either remained stable or slightly decreased due to the ongoing harvest. Overall, local cereal prices remain over 250 percent above the five-year average and are anticipated to continue increasing through at least September 2019.

* FEWS NET classification is **IPC**-compatible with limited exceptions. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. As of IPC 3.0, the IPC no longer assesses the impact of food assistance on classification and thus no longer maps the (!). However, FEWS NET continues to produce food security maps inclusive of the (!) as well as maps compatible with IPC 3.0/3.1, which include the mapping of food security assistance bags. In rare cases, FEWS NET classification is IPC-aligned but not IPC-compatible. IPC-aligned analysis is evidence-based but some types of evidence required for IPC-compatibility were not available.

Key Message Update

This Key Message Update provides a high-level analysis of current acute food insecurity conditions and any changes to FEWS NET's latest projection of acute food insecurity outcomes in the specified geography. Learn more [here](#).